

THE MONEY MARKET

The money market is a component of the financial market where short-term borrowing and lending occur, typically for periods of one year or less. It facilitates liquidity management and helps businesses, governments, and financial institutions meet their short-term funding needs.

DEFINITIONS OF MONEY

- Money is an item or record that is commonly accepted as payment for goods and services.
- Money is “anything which is widely accepted, in payment for goods or in discharge of other kinds of obligations.” The main thing is “acceptability.” “Money is what money does.”

There are two main definitions of money;

1. Narrow Money

Narrow money refers to money balances which are easily available to finance day to day spending, that is, for transactions purposes. This emphasizes the medium of exchange function of money.

2. Broad Money

Broad money refers to money held both for transactions purposes and as a form of saving purposes. It includes assets which could be converted with relative ease. The broad definition of money takes into account the store of value function in addition to the medium of exchange function of money.

FUNCTIONS OF MONEY

The basic functions of money are: medium of exchange, unit of account, store of value, and standard of deferred payment; essentially, money allows for easy exchange of goods and services, provides a common unit to compare prices, can be saved for future use, and acts as a way to settle debts later on.

Explanation:

- **Medium of Exchange:**
Money acts as a readily accepted item that can be used to buy goods and services without the need for bartering.
- **Unit of Account:**

Money provides a common unit to measure the value of different goods and services, allowing for easy price comparisons.

- **Store of Value:**

Money can be saved and used later to purchase goods and services, effectively storing purchasing power over time.

- **Standard of Deferred Payment:**

Money allows for debts to be incurred and repaid in the future, with a set value agreed upon at the time of the transaction.

PROPERTIES OF MONEY

Money has many properties, including being a medium of exchange, a unit of account, and a store of value. Other properties include:

- **Divisibility:** Money can be divided into smaller units.
- **Durability:** Money can withstand repeated use.
- **Portability:** Money can be easily carried and transported.
- **Acceptability:** Most people must accept money as payment.
- **Scarcity:** The supply of money in circulation must be limited.
- **Uniformity:** Money should be homogeneous and not differ from each other.

MONEY CREATION

Money creation, or money issuance, is the process of increasing a country's money supply. This can be done by central banks or commercial banks.

How central banks create money

- Central banks create legal tender, or narrow money (M0), by printing banknotes and minting coins.
- How commercial banks create money

- Commercial banks create bank money, or broad money (M1/M2), by lending money to customers and recording the loans as deposits.
- When a customer takes out a loan, the bank creates a debt owed to the customer, and the customer creates a debt owed to the bank.
- The customer then spends the money, which usually ends up in another bank, increasing the deposits in the banking system.

Theories of money creation credit creation theory, fractional reserve theory, and debt intermediation theory.

FINANCIAL INSTITUTIONS

DEMAND FOR MONEY

The demand for money is the desired holding of financial assets in the form of money

Reasons for demand for money

A. Transaction motive

- i. Consumers – who simply want to possess money for their food, transport expenditure.
- ii. Business motive – The businessmen and the entrepreneurs also have to keep a portion of their resources in ready cash in order to meet the current needs of various kinds. They need ready, money for their raw materials need this almost on daily basis.

B. Precautionary motive

Precautionary motive for holding money, refers to the desire of the people to hold cash balances for unforeseen contingencies. People hold a certain amount of money to provide for the risk of sickness, accidents and nay other uncertain perils.

C. Speculative motive

The speculative motive relates to the desire to hold one's resources in liquid form in order to take advantage of markets regarding the future changes in the rate of interests or government bonds. The cash held under this motive is used to make speculative gains by dealing in bonds, who make speculative gains by dealing in bonds whose prices fluctuate.

MONEY SUPPLY

Money supply is the total amount of money in circulation in an economy. It includes cash, checking accounts, and other liquid assets.

Factors that affect money supply

- **Monetary base:** The amount of money available to be circulated
- **Cash Reserve ratio:** The amount of money banks are required to keep on hand
- **Currency deposit ratio:** The amount of cash people keep on hand instead of depositing in banks

- **Open market operations:** The buying and selling of government securities by the central bank

QUANTITY THEORY OF MONEY

The "quantity theory of money" is an economic theory stating that the general price level of goods and services in an economy is directly proportional to the amount of money circulating, meaning that if the money supply increases, the price level will also rise proportionally, and essentially explaining inflation through changes in the money supply.

Key points about the quantity theory of money:

The theory is often represented by the equation " $MV = PT$ " where M is the money supply, V is the velocity of money (how quickly money is spent), P is the price level, and T is the volume of transactions.

A core assumption is that the velocity of money (V) is relatively stable, so if the money supply (M) increases, the price level (P) must also increase to maintain the equation balance.

This theory is a central tenet of the "monetarist" school of economic thought, which emphasizes the importance of controlling the money supply to manage inflation.

Equilibrium in the money market

Equilibrium in the money market occurs when the money demand equals the money supply. At that point, the equilibrium interest rate is formed. For the equilibrium interest rate to change, either the money supply curve or the money demand curve should shift.

Money market is in equilibrium when the demand of money and supply of money are equal. The demand for money $L = L_t + L_s$, where L_t is the transaction demand for money which is an increasing function of income

$$L_t = f(Y)$$

While L_s is speculative demand of money which is a decreasing function of rate of interest.

$$L_s = f(r).$$

Thus the money market will be in equilibrium if

$$M = L_t(y) + L_s(r)$$

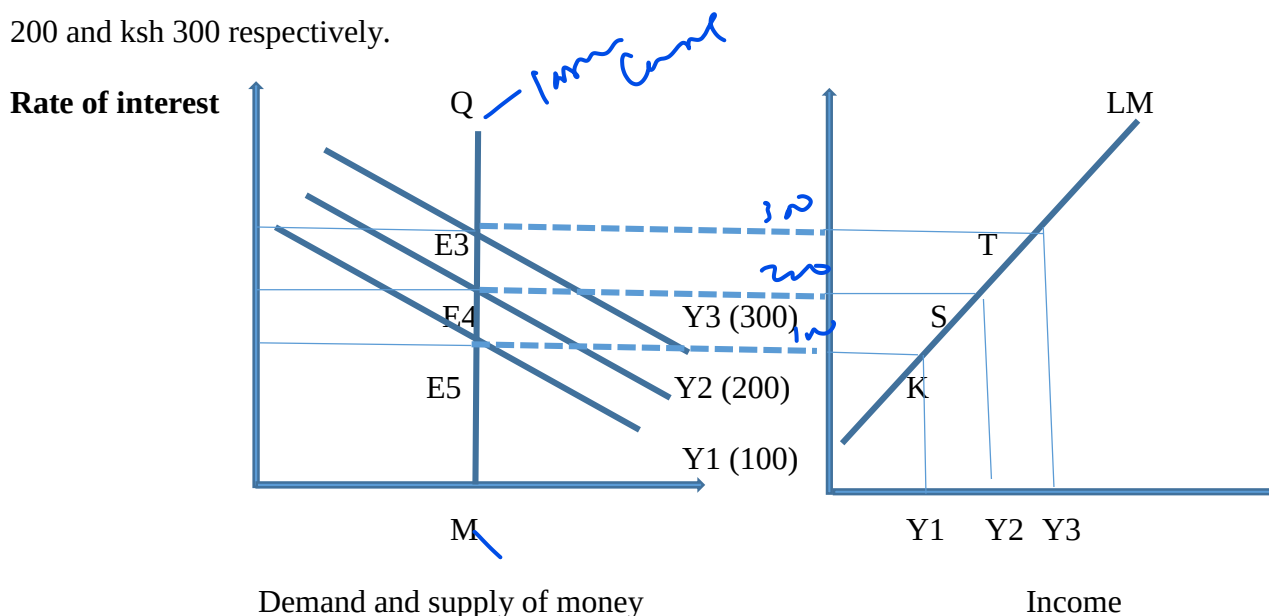
Deriving the LM curve

The LM curve shows all combinations of interest rates and levels of income at which the demand and supply for money are equal.

In other words, the LM schedule shows that the combinations of interest rates and levels of income where the demand for money and supply for money are equal such that the money market is in equilibrium.

The LM curve is derived from the Keynesian formulation of liquidity preference schedule and schedule of supply of money.

a family of liquidity preference curves $L_1 Y_1$; $L_2 Y_2$; and $L_3 Y_3$ is drawn at all levels of Ksh 100, ksh 200 and ksh 300 respectively.



These curves together within the perfectly inelastic money supply curve MQ give us the LM curve. the LM curve consists of a series of points, each point representing an interest-income level at which demand for money (L) is equal to supply of money (M).

At the income level of Y_1 (100 ksh), the demand for money ($L_1 Y_1$) is equal to the money supply (QM) at interest rates equal to R_1 interest rate.

Similarly, at the Y_3 (300 ksh) income level the $L_3 Y_3$ and QM curves equal at R_3 interest rates.

The supply of money, the liquidity preference at the level and the rate of interest rate provides data for the LM curve shown on diagram B above.

Suppose the level of income is Y_1 (100 ksh) as marked above on diagram B, the income of 100ksh generates a demand of money represented by the liquidity preference curve L_1Y_1 . from point W_1 where L_1Y_1 curve intersects the MQ curve, extend a dashed line horizontally to the right so as to meet the line drawn upwards from Y_1 at r . points S and T can also be determined in the similar manner. Jointing these three points K , S , T we get the LM curve. This curve relates different income levels to various interest rates.

Slope of the LM curve

The LM curve slopes upwards from left to right because given the supply of money, an increase in the level of income increases the demand of money which leads to a higher rate of interest. This in return reduces the demand for money to income and the larger the responsiveness of the demand to change in interest rates the flatter will be the LM curve. This means that a given change in income will lead to a smaller effect on the interest rates.